



File No: EXP202204226

RESOLUTION OF TERMINATION OF THE PROCEDURE DUE TO VOLUNTARY PAYMENT

From the procedure initiated by the Spanish Agency for Data Protection and based on the following

BACKGROUND

FIRST: On September 16, 2022, the Director of the Spanish Agency for Data Protection agreed to initiate sanctioning proceedings against D.A.S. DEFENSA DEL AUTOMOVILISTA Y DE SINIESTROS-INTERNACIONAL, S.A. DE SEGUROS Y REASEGUROS (hereinafter the claimed party). After notifying the initiation agreement and analyzing the allegations presented, on April 27, 2023, the proposal for resolution was issued, which is transcribed below:

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File No: EXP202204226

PROPOSAL FOR RESOLUTION OF SANCTIONING PROCEDURE

From the procedure initiated by the Spanish Agency for Data Protection and based on the following:

BACKGROUND

FIRST: Mr. A.A.A. (hereinafter, the claiming party) filed a complaint with the Spanish Agency for Data Protection on 08/03/2022. The complaint is directed against DAS DEFENSA DEL AUTOMOVILISTA Y DE SINIESTROS-INTERNACIONAL, S.A. DE SEGUROS Y REASEGUROS with NIF A08055196 (hereinafter the claimed party). The reasons on which the complaint is based are as follows: The claimant, owner of a commercial premises, entered into a lease agreement for said premises, which was drafted by the mediator and exclusive agent of the claimed insurer. On the same date, the claimant signed a policy with the claimed insurer, through said mediating agent, aimed at covering the risk of non-payment and vandalism acts that the tenant might incur during the term of the contract, including a guarantee for compensation of unpaid rents. In March 2020, the tenant of the premises did not make the rental payment, and the claimant reported the incident to the insurer, which opened a file regarding it and, after unsuccessfully claiming the payment of the rent, filed an eviction lawsuit for non-payment of rents, in addition to compensating the claimant with an amount corresponding to the benefit for "advance payment of unpaid rental payments." The Court issued a favorable Judgment (dated February 8, 2021), and the tenant (defendant) filed an appeal, attaching to their appeal a photograph of a printed document (derived from the insurance policy signed by the claimant), specifically, the document related to the benefit for advance payment of unpaid rental payments, which was provided to them at C/ Jorge Juan, 6

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tenant by B.B.B. (mediator and exclusive agent of the insurer), on March 8, 2021. As a result of the events, on March 13, 2021, the claimant filed a complaint with the insurer, adding that, in the background of the photograph of the disputed document, it could be seen that the photograph was taken on a chair of the real estate managed by B.B.B. (mediator and exclusive agent of the claimed insurer), receiving a response from that entity (on April 23, 2021) indicating, among other things, the following: "The access of B.B.B.... to the information contained in file ***NUMBER.2 does not constitute a breach of data protection regulations (...) it is recorded as the mediator of the policy... subscribed by the client and maintains an exclusive agency contract with DAS Seguros for the distribution of Insurance. However, it is true that B.B.B., who was aware of the existing confidentiality obligation (as stated in the contract and in the training received), should in no case have provided the tenant with the settlement proposal issued by DAS Seguros. From the data protection department, appropriate measures have been taken to prevent this situation from occurring again."

The claimant states that he filed a complaint with the Court for an alleged crime of disclosure of secrets, resulting in a provisional dismissal and filing of the proceedings, pending the resolution of an appeal.

He provides, among others, a lease contract, insurance policy, proof of premium payment, burofax of payment demand, emails exchanged with the insurer regarding the request for the settlement and discrepancies about its valuation, a copy of the appeal filed by the tenant, and the disputed attached document, complaint made by the claimant (as well as subsequent reiterations) and the insurer's response letter, dated April 23, 2021.

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on Personal Data Protection and Guarantee of Digital Rights (hereinafter LOPDGDD), this complaint was forwarded to the claimed party, so that it could proceed with its analysis and inform this Agency within one month of the actions taken to comply with the requirements set forth in data protection regulations.

The transfer, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was recorded on April 7, 2022, as noted in the acknowledgment of receipt in the file.

On April 29, 2022, the claimed party responded to the Agency's request stating that: the incident was caused by a lack of awareness regarding data protection by the insurance agent, who was led (or manipulated) by the tenant's situation; that the insurance agent violated the GDPR and the contract by delivering a document belonging to the insurance relationship between the claimant and DAS Seguros to a third party, informing their DPO of the facts, who had a conversation with the insurance agent and reprimanded them in writing; that the information disclosed by the agent to the third party was not sensitive and did not cause any harm to the claimant; that at all times the claimed party has complied with its obligations regarding data protection; that the claimed party

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will implement new measures to continue raising awareness among its network of agents given the complexity of the matter and will insist, not only with the insurance agent but also with the rest of the agency network, on training and awareness activities.

THIRD: On 08/06/2022, in accordance with Article 65 of the LOPDGDD, the complaint submitted by the claimant was admitted for processing.

FOURTH: On 19/09/2022, the Director of the Spanish Agency for Data Protection agreed to initiate sanctioning proceedings against the respondent for the alleged infringement of Article 5.1.f) of the GDPR, classified under Article 83.4 of the GDPR.

FIFTH: Upon notification of the aforementioned initiation agreement, the respondent submitted a written statement of allegations on 07/10/2022, stating, in summary: the existence of procedural novelties since the response to the information request made by the AEDP; the non-compliance of the insurance agent with the instructions given by the data controller; the necessity of data processing carried out by the insurance agent; the protection of personal data as an obligation of measures and results in accordance with the ruling of the TS; the existence of mitigating circumstances; the filing or, alternatively, the warning.

SIXTH: On 18/10/2022, the instructor of the proceedings agreed to open a period for the practice of evidence, agreeing on the following:

- To consider reproduced for evidentiary purposes the complaint filed by the claimant and its documentation, the documents obtained and generated by the Inspection Services that are part of the file.

- To consider reproduced for evidentiary purposes, the allegations to the initiation agreement presented by the respondent and the documentation accompanying them.

SEVENTH: From the actions carried out in the present proceedings, the following have been accredited,

PROVEN FACTS

1. On 08/03/2022, a written submission from the claimant was received by the AEPD; the reasons on which the complaint is based are that the claimant is the owner of a commercial premises and, on 14/02/2018, signed a lease contract for said premises, with the contract being drafted by B.B.B. (an

employee of a real estate agency and, at the same time, a mediator and exclusive agent of the insurance company being claimed against). On the same date, the claimant signed an insurance policy with the insurance company being claimed against, through said mediating agent, whose purpose was to cover the risk of non-payment and vandalism acts that the tenant might incur during the term of the contract, including a guarantee for compensation for unpaid rents. In March 2020, the tenant of the premises did not make the rental payment, and the claimant reported the incident to the insurance company, which opened a file regarding it and, after unsuccessfully claiming the payment of the rent, filed an eviction lawsuit for non-payment of rents, in addition to compensating the claimant with an amount corresponding to the benefit for "advance payment of unpaid rental payments." The Court issued a favorable ruling (on 08/02/2021) and the tenant (the defendant) filed an appeal, attaching to their appeal a photograph of a document.

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printed (derived from the insurance policy signed by the claimant), specifically, from the document related to the advance payment of unpaid rental income, which was provided to the tenant by B.B.B. (mediator and exclusive agent of the insurer) on 08/03/2021.

2. A copy of the claimant's ID has been submitted.
3. A lease agreement for the property signed by the claimant as the landlord, and a third party, Ms. C.C.C., as the tenant, in Alcalá de Henares on 14/02/2018 has been submitted.
4. General and Specific Conditions of the DAS insurance policy for unpaid rental of premises signed by the claimant with the respondent on 12/02/2018 have been submitted.
5. Emails exchanged between the claimant and the respondent regarding the debt generated by the tenant due to the non-payment of rent for the leased property have been submitted by the claimant.
6. An appeal has been filed by the claimant's tenant before the Provincial Court of Madrid against the judgment issued by the Court of First Instance No. 3 of Alcalá de Henares on 08/02/2021, in favor of the landlord, which upheld the eviction and the obligation to pay the overdue rents. Additionally, the document for the Advance Payment of Unpaid Rents has been submitted along with the appeal. The respondent has stated that "On December 27, 2021, the Provincial Civil Court issued the judgment on the eviction case. The Provincial Civil Court accepted the arguments of the tenant, reducing the amount owed to 1,122 euros. The reasons for reducing the owed amount were not based on the document provided by the agent to the tenant (which had not been admitted) but on the fact that the landlord agreed to a partial remission of the debt with the tenant due to the pandemic situation."
7. The claimant sent an email on 13/03/2021 to the DAS Customer Service complaining about certain issues and, additionally, regarding the delivery of the document referred to in the previous point, as well as the emails exchanged with the insurer and the resolution from the Customer Service.
8. A copy of the email dated 10/05/2021, subject: Data Protection Incident, sent by the respondent to the insurance agent, indicates the following:

"As we discussed a few days ago, the Customer Service informed me of the complaint filed by the claimant, policyholder of policy ***NUMBER.1, DAS Unpaid Rent for Premises, in which you are listed as the mediator of the policy (Mediator Code ***CODE.1).

In their complaint, among other issues, the claimant believes their right to data protection has been violated. Thus, in connection with the appeal filed by the representation of the tenant, the claimant noted that the opposing party submitted, as evidence, the settlement proposal issued by DAS Seguros for the payment of the advance payment of unpaid rental income (file ***NUMBER.2).

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As you yourself acknowledged in the conversation we had, by mistake and in order to reassure the

tenant, you showed the settlement proposal to her.

As a follow-up to our conversation, it is important to remind you of the obligation to keep the information confidential and that, by virtue of this obligation, as an agent you cannot disclose to third parties the information contained in a file. Although I understand that, as you have mentioned to me, you are aware of this confidentiality obligation, I would ask you to be very careful in complying with it. If you have any questions regarding compliance with data protection regulations, do not hesitate to contact me.”

9. The respondent in a written statement dated 04/29/2022 has stated that:

“(…)

Second: The claimant (policyholder) contracted an insurance policy with the respondent through the intermediation of B.B.B. (exclusive agent of the respondent). An insurance agent is a distributor of insurance, whose functions are outlined in Royal Decree-Law 3/2020, of February 4, regarding the distribution of private insurance. Article 203 of this regulation classifies them as data processors. The policy was for non-payment of rents and guaranteed the payment of a benefit to the landlord in the event that the tenant did not pay the rents to which she was obligated.

Third: The claimant (landlord and policyholder) reported a claim to the respondent because C.C.C. (tenant) did not pay the rent for a number of months. The respondent paid the benefit to the claimant, formalizing a settlement regarding the amount and concepts of the benefit. The settlement did not include sensitive information, only that related to the claim and the benefit.

Fourth: The respondent appointed a lawyer who sued the tenant on behalf of the landlord. The civil judgment issued in the eviction proceedings on February 8, 2021, was favorable to the landlord because it upheld the eviction and the tenant's obligation to pay the overdue rents (€2,081.13).

Fifth: The tenant explained to B.B.B. (exclusive agent of the respondent and real estate agent) the outcome of the judgment. B.B.B. felt sorry for C.C.C. (tenant) and, improperly, allowed her to photograph a copy of the settlement agreed upon between the respondent and the claimant. We say it was "improperly" because that document belonged to the insurance relationship between the respondent and the claimant. B.B.B., who had access to it, did so not as a real estate agent but as an exclusive agent of the respondent.

Sixth: C.C.C. (tenant) appealed the judgment issued in the eviction trial before the Provincial Court, mainly because she disagreed with the amount to be paid, claiming that during the pandemic situation, the landlord agreed to partially reduce the rent. She also submitted the copy of the settlement that had been given to her by B.B.B. The tenant believed that this document proved that if the landlord had been reimbursed by the respondent, then he could not claim the same amount before the court.

It also states in the same document that:

“1. The insurance agent violated the GDPR and the data processing contract. The insurance agent violated the GDPR by delivering a document belonging to...

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the insurance relationship between the landlord (the claimant) and the defendant to a third party (the tenant).

(…)

10. The application for registration as an insurance mediator, under the provisions of Law 26/2006, and the formalization of the Insurance Agency contract in the modality of Exclusive Insurance Agent, is recorded in Alcalá de Henares on 04/23/2007.

11. A Commercial Collaboration Contract as an Exclusive Insurance Mediator has been submitted, concluded between the defendant and the exclusive agent on 01/28/2020.

12. Certificates of aptitude and completion of training action of the exclusive agent of the entity and the Code of Conduct for insurance agents of the company DAS have been submitted.

13. On 07/08/2021, the claimant filed a complaint before the Court of Instruction No. 4 of Alcalá de

Henares (Madrid), giving rise to the Procedure: Preliminary Proceedings ***NUMBER.3, for the revelation of secrets by an individual; an order was issued on 11/15/2021 in which the provisional dismissal and filing of the proceedings were decreed, without prejudice to any civil actions that may correspond to the injured party.

In the second basis of the dismissal order, it is stated that: "...it does not appear that the conduct of the investigated parties constitutes a crime. The conduct consisted of the landlord presenting before the Court of First Instance No. 3 of Alcalá de Henares, in the eviction process No. ***NUMBER.4 in which he was listed as the defendant, part of the insurer's file related to the management of the benefit paid to the claimant, with the sole purpose of proving that he had received in advance the unpaid rental income from the tenant (here reported), sums for which, not being paid, he ended up filing the corresponding claim before the Court of First Instance. Well, it cannot be stated that the documents submitted by the investigated defendant before the Court of First Instance are a trade secret. It is documentation that does not meet the three characteristic elements of a trade secret (hidden nature, the holder's intention to keep it hidden, and interest in maintaining the secret). It is documentation regarding a contractual relationship, which is common in the subscription of lease contracts to guarantee the provision of rent. The employee of the real estate agency Belcasa, S.L., the insurance agent, clearly and sincerely acknowledged in court in her capacity as an investigated party, that when the tenant told her that she had been sued for non-payment of rents and that her eviction from the premises had been requested, she informed her that the landlord had collected the unpaid rents from her insurer DAS, showing her the documentation, of which she took a photograph. She added that she did this without knowing it would be presented in court, but that she wanted to reassure the tenant. And, although the conduct of the insurance agent was unprofessional, this does not imply the commission of a crime by either her or the tenant, whose intention was to try not to be evicted in the civil process, not to reveal a trade secret."

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14. The claimant filed an appeal before Section No. 04 of the Provincial Court of Madrid, resulting in an order dated 06/16/2022 agreeing to dismiss the same and confirming the judgment of the instance.

LEGAL GROUNDS

I

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and guarantee of digital rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states that: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development, and, in so far as they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Article 58 of the GDPR, Powers, states:

"2. Each supervisory authority shall have all of the following corrective powers:

(...)

i) impose an administrative fine in accordance with Article 83, in addition to or instead of the measures mentioned in this paragraph, depending on the circumstances of each particular case;

(...)"

Article 5 of the GDPR establishes the principles that must govern the processing of personal data and mentions among them the principle of "integrity and confidentiality."

The aforementioned article states that:

“1. Personal data shall be:

(...)

f) processed in such a way as to ensure an adequate level of security of personal data, including protection against unauthorized or unlawful processing and against accidental loss, destruction, or damage, by applying appropriate technical or organizational measures (‘integrity and confidentiality’).”

(...)

III

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1. The documentation in the file provides clear evidence that the respondent violated Article 5 of the GDPR, principles related to processing, by transferring to a third party, the tenant of the claimant, by the exclusive agent of the respondent, the settlement containing personal data: name and address of the claimant (landlord), address of the leased premises, monthly rent, policy number, insured amount, and deductible, etc., which constitutes a breach of the duty of confidentiality.

This duty of confidentiality must be understood as aimed at preventing unauthorized leaks of data not consented to by the data subjects and is an obligation that falls not only on the data controller and processor but also on anyone involved in any phase of the processing, complementing the duty of professional secrecy.

Therefore, it is considered that the respondent has violated the GDPR by infringing what is stated in Article 5.1.f) of the same.

2. It is necessary to refer to the specific regulations of the electricity sector. Royal Decree-Law 3/2020, of February 4, regulates in its Second Book the Measures for the adaptation of Spanish law to the European Union regulations regarding private insurance and pension plans and funds.

In Article 128, Definitions, the insurance mediator is defined as:

“Any natural or legal person, other than an insurance or reinsurance entity and its employees, and also different from a complementary insurance mediator, who, in exchange for remuneration, undertakes or carries out an insurance distribution activity.”

Article 135, Classes of insurance mediators, establishes:

“1. Insurance mediators are classified as:

a) Insurance agents.

b) Insurance brokers.

Insurance agents and insurance brokers may be natural or legal persons.

2. The status of insurance agent and insurance broker is incompatible with each other, regarding their simultaneous exercise by the same natural or legal persons. Without prejudice to the above, any insurance mediator may request the modification of their registration in the administrative register of insurance and reinsurance distributors provided for in Article 133, for the purpose of exercising the insurance distribution activity through another form of mediation, upon accreditation of compliance with the requirements that are demanded for it.

3. The designations “insurance agent” and “insurance broker” are reserved for the insurance mediators defined in Title I.

(...)

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5. The insurance mediators mentioned in section 1 may use websites or other remote communication techniques, through which they provide the client with information comparing prices or coverage of a

certain number of insurance products from different companies.”

Article 140, Concept of insurance agent, establishes that:

“Insurance agents are natural or legal persons, other than an insurance entity or its employees, who, by entering into an agency contract with one or more insurance entities, commit themselves to these to carry out the insurance distribution activity defined in Article 129.1, under the terms agreed in that contract.”

Article 143, Professional civil liability, states that:

“1. Without prejudice to the criminal or other liability that the insurance agent may incur in the exercise of their insurance distribution activity, the professional civil liability arising from their actions and those of their external collaborators shall be attributed to the insurance entity with which they have entered into an insurance agency contract, all in accordance with the provisions of the agency contracts entered into.

(...)”

Article 146, Communication regime, states that:

“The communications made by the policyholder to the insurance agent distributing the insurance contract shall have the same effects as if they had been made directly to the insurance entity.”

Also, Article 203, Condition of data controller or processor, establishes that:

“1. For the purposes provided for in Organic Law 3/2018, of December 5, as well as in Regulation (EU) 2016/679 of the European Parliament and of the Council, of April 27, 2016, regarding the protection of natural persons with regard to the processing of personal data and the free movement of such data:

a) Insurance agents and banking-insurance operators shall have the status of processors of the insurance entity with which they have entered into the corresponding agency contract, under the terms provided in Title I.

(...)

2. In the case provided for in letter a) of section 1, the agency contract must include the details provided for in Article 28.3 of Regulation (EU) 2016/679 of the European Parliament and of the Council, of April 27, 2016.

(...)”

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3. The respondent and the agent signed a COMMERCIAL COLLABORATION CONTRACT WITH EXCLUSIVE INSURANCE MEDIATOR in Hospitalet de Llobregat on 01/28/2020.

Annex IV of the aforementioned contract refers to the contract for processing, in which the agent assumes this condition in their relationship with the data controller; clause 2, Identification of the affected information, states that:

“The data processor, within the framework of the provision of services described in the Main Contract, will have access only to the data necessary to provide the services corresponding to the aforementioned contract.

In particular, they will have access to the personal data of clients, policyholders, beneficiaries, insured parties, or third parties involved in conflicts with them (in judicial, administrative, arbitration, mediation, or amicable claim/defense proceedings), necessary to promote the contracting of insurance policies from DAS Seguros, formalize them, and assist in the management (in particular, in the event of a claim) and execution of said contracts” (the underlining corresponds to the AEPD).

Clause fifteen, PROFESSIONAL AND ADMINISTRATIVE CIVIL LIABILITY, establishes:

“15.1.

Professional liability: DAS Seguros will assume, before third parties, the professional civil liability derived from the activity of distributing private insurance carried out by the EXCLUSIVE AGENT in the interest of the insurer.

15.2.

Administrative liability: Likewise, DAS Seguros will be responsible before the Administration for the

infringements provided for in the insurance distribution regulations, without prejudice to the administrative liability that, where appropriate, may be attributed to the EXCLUSIVE AGENT.

15.3.

Right of recourse and control of the activity of the EXCLUSIVE AGENT

Once the compensation or penalty has been paid, where applicable, DAS Seguros will be entitled to recourse against the EXCLUSIVE AGENT for the amounts paid.

As a consequence of the above, DAS Seguros is authorized to carry out audits, periodic or not, remotely or at the offices of the EXCLUSIVE AGENT. The EXCLUSIVE AGENT must make available to the employees of DAS Seguros any documents requested for these purposes.

And clause sixteen, CODE OF CONDUCT, establishes:

16.1.

Code of Conduct for insurance agents: The EXCLUSIVE AGENT commits to comply with the "Code of Conduct for insurance agents of the company DAS Defensa del Automovilista y de Siniestros-Internacional, S.A. de Seguros y Reaseguros," which is attached to this contract as Annex III.

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4. In this case, the complaint that motivates the initiation of the sanctioning procedure arises from the documentation that was delivered by the exclusive insurance agent of the insurance entity to a third party, the lessee of the claimant, related to the provision for unpaid rental income, which in no case should have been provided, considering the claimant that the regulations on the protection of personal data have been violated.

From the documentation provided and the statements made by both parties, it is evident that the claimant signed a lease contract for a business premises they owned with a third party; they also signed an insurance policy with the respondent, mediated by the exclusive insurance agent, covering among other things legal advice, eviction action, legal defense, etc., as well as a guarantee for losses due to unpaid rents.

The claimant communicated to the respondent a claim for unpaid rents, opening a file and subdividing it into two: legal defense and unpaid rents, addressing that coverage.

The insurer appointed a lawyer to claim from the lessee in the name of the claimant an eviction lawsuit for unpaid rents before the Court of First Instance No. 3 of Alcalá de Henares, resulting in a favorable judgment for the claimant on 02/08/2021, which upheld the eviction and the obligation to pay the overdue rents.

The lessee would communicate to the exclusive agent the outcome of the judgment, and she, improperly, would deliver a copy of the settlement related to the advance payment of rents agreed between the insurer and the policyholder, a document that belonged to the contractual relationship that exclusively bound the claimant to DAS.

5. The lessee appealed the judgment issued in the first instance before the Provincial Court for disagreeing with the amount to be paid and also submitted a copy of the document related to the payment made by the insurer to the claimant for advance unpaid rents, a document that belonged to the contractual relationship that exclusively bound the claimant to DAS, which had been delivered by the exclusive agent, although it would not be admitted due to being out of time according to the statements of the respondent.

This fact was what prompted the complaint from the claimant to the insurance entity, with the agent being reprimanded, and the claimant received explanations from the Customer Service that he was entirely correct since the document should not have been delivered under any circumstances.

Subsequently, the claimant would file a complaint against the exclusive insurance agent for the crime of revealing secrets to the lessee of the claimant, before the Investigating Court No. 4 of Alcalá de Henares, claiming subsidiary liability from DAS.

The Court, by Order of 11/15/2021, decreed the provisional dismissal and filing of the criminal case initiated by the claimant.

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However, the claimant appealed to the Provincial Court of Madrid, which issued an Order on 06/16/2022, dismissing the appeal and affirming what was stated in the Order issued in the first instance.

In the proceedings conducted, it has been established that the exclusive agent acted in violation of the implemented measures and instructions given by the responsible party, including confidentiality, by revealing a document that solely pertained to the relationship between the policyholder and the insurance company, unrelated to the relationship that the landlord (claimant) had with their tenant (third party).

The same agent acknowledged before the Court the delivery of the documentation to the tenant, and the same judicial body attributed to the agent a lack of professionalism.

6. Well, in light of the above, the respondent has violated the personal data of the claimant by delivering the document containing the payment made by the insurer to the claimant for advance rent of unpaid rent to their tenant, a document that was presented in court without their knowledge, being responsible for the processing according to the definition given in section 7 of Article 4 of the GDPR, which considers as such "the natural or legal person, public authority, service, or other body that, alone or jointly with others, determines the purposes and means of the processing," while the exclusive agent, responsible for the processing, is, according to section 8 of the aforementioned provision, "the natural or legal person, public authority, service, or other body that processes personal data on behalf of the data controller."

It should be noted that Article 28.10 of the GDPR invoked by the respondent refers to "if a processor infringes this Regulation by determining the purposes and means of the processing, it will be considered a controller with respect to that processing," that is, it refers to the infringement of the determination of the purposes and means of the processing.

Now, the fact that the exclusive agent, as the processor, decided to show a document to a third party, the claimant's tenant, and on which this third party took a photograph and subsequently presented in court, does not mean that they used it to determine their own means and purposes. What are these? Their action is not determined by a commercial, financial, economic, or similar purpose, nor is there any particular purpose perceived; nor has the respondent provided what those own purposes and means were that led the exclusive agent to act in such a manner; according to what was stated in the court hearing, they did it without thinking that the document would be used in court and to reassure the claimant's tenant.

The contract entered into between the respondent and the agent allows the latter, as deduced from Annex IV, clause 2, Identification of the affected information, access to the personal data of clients, policyholders, beneficiaries, insured parties, or third parties involved in conflicts with them (in judicial proceedings,

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administrative, arbitration, mediation, or amicable claim/defense), necessary to promote the contracting of insurance policies, formalize them, and assist in the management (particularly in the event of a claim) and execution of such contracts.

It is true that the insurance agent has acted negligently and carelessly, as the respondent himself states, and as the Court qualifies in its Order by noting that "The employee of the real estate agency Belcasa, S.L., the insurance agent, clearly and sincerely acknowledged in court in her capacity as an

investigated party, that when the tenant told her that she had been sued for non-payment of rent and that her eviction from the premises had been claimed, she informed her that the landlord had collected the unpaid rents from her insurer DAS, showing her the documentation, of which the latter took a photograph. She added that she did this without knowing that it was going to be presented in court, but that she wanted to reassure the tenant. And, although the actions of the insurance agent were unprofessional, this does not constitute a crime either by her or by the tenant, whose intention was to try not to be evicted in the civil process, not to reveal a business secret.”

However, the aforementioned action constitutes a breach of the measures adopted by the respondent, a violation of the instructions of the responsible party, for which, in response to the complaint from the claimant, she was reprimanded for showing a third party the claimant's documentation, but this does not imply that such action was used for her own ends and means.

Indeed, one thing is the leak, an act reported to the criminal jurisdiction that ended with the provisional dismissal order of the Provincial Court of Madrid, and another is the duty of confidentiality of the data, as well as the implementation of security measures that those responsible for processing are obliged to adopt to prevent access to personal data without the corresponding authorization or consent, which subsequently motivated the adoption of new measures to prevent incidents like the one claimed.

IV

The infringement attributed to the respondent is classified in Article 83.5 a) of the GDPR, which considers that the infringement of “the basic principles for processing, including the conditions for consent under Articles 5, 6, 7, and 9” is sanctionable, according to paragraph 5 of the aforementioned Article 83 of the cited Regulation, “with administrative fines of up to €20,000,000 or, in the case of a company, an amount equivalent to 4% of the total annual global turnover of the previous financial year, opting for the higher amount.”

The LOPDGDD in its Article 71, Infringements, states that: “Acts and conduct referred to in paragraphs 4, 5, and 6 of Article 83 of Regulation (EU) 2016/679, as well as those that are contrary to this organic law, constitute infringements.”

And in its Article 72, it considers for the purposes of prescription that they are: “Infringements considered very serious:

1. According to what is established in Article 83.5 of Regulation (EU) 2016/679, the infringements that constitute a substantial violation of the articles mentioned therein are considered very serious and will prescribe in three years, particularly the following:

(...)

a) The processing of personal data violating the principles and guarantees established in Article 5 of Regulation (EU) 2016/679.

(...)

V

In order to establish the administrative fine that should be imposed, the provisions contained in Articles 83.1 and 83.2 of the GDPR must be observed, which state:

“1. Each supervisory authority shall ensure that the imposition of administrative fines under this article for the infringements of this Regulation indicated in paragraphs 4, 5, and 6 are, in each individual case, effective, proportionate, and dissuasive.

2. Administrative fines shall be imposed, depending on the circumstances of each individual case, as an additional or substitute measure to those contemplated in Article 58, paragraph 2, letters a) to h) and j). In deciding the imposition of an administrative fine and its amount in each individual case, the following shall be duly taken into account:

a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing operation in question as well as the number of data subjects affected and the level of damage and detriment suffered;

b) the intentionality or negligence in the infringement;

c) any measures taken by the controller or processor to mitigate the damage and detriment suffered by the data subjects;

d) the degree of responsibility of the controller or processor, taking into account the technical or organizational measures they have implemented under Articles 25 and 32;

- e) any previous infringement committed by the controller or processor;
- f) the degree of cooperation with the supervisory authority in order to remedy the infringement and mitigate the possible adverse effects of the infringement;
- g) the categories of personal data affected by the infringement;
- h) the manner in which the supervisory authority became aware of the infringement, in particular, whether the controller or processor notified the infringement and, if so, to what extent;
- i) when the measures indicated in Article 58, paragraph 2, have been previously ordered against the controller or processor in relation to the same matter, the compliance with such measures;

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j) adherence to codes of conduct under Article 40 or to certification mechanisms approved under Article 42, and

k) any other aggravating or mitigating factor applicable to the circumstances of the case, such as financial benefits obtained or losses avoided, directly or indirectly, through the infringement.”

In relation to letter k) of Article 83.2 of the GDPR, the LOPDGDD, in its Article 76, “Sanctions and corrective measures,” establishes that:

“2. According to the provisions of Article 83.2.k) of Regulation (EU) 2016/679, the following may also be taken into account:

- a) The ongoing nature of the infringement.
- b) The connection of the infringer's activity with the processing of personal data.
- c) The benefits obtained as a result of the commission of the infringement.
- d) The possibility that the conduct of the affected party may have induced the commission of the infringement.
- e) The existence of a merger by absorption after the commission of the infringement, which cannot be attributed to the absorbing entity.
- f) The impact on the rights of minors.
- g) Having, when not mandatory, a data protection officer.
- h) The voluntary submission by the controller or processor to alternative dispute resolution mechanisms, in cases where there are disputes between them and any interested party.”

According to the transcribed provisions, for the purpose of determining the amount of the fine to be imposed in this case for the infringement classified in Article 83.5 and 5.1.f) of the GDPR for which the respondent is held responsible, an initial assessment considers the following concurrent factors:

As aggravating circumstances:

- The nature, severity, and duration of the infringement: the facts revealed seriously affect a fundamental principle regarding the processing of personal data, namely integrity and confidentiality, which is sanctioned with particular severity by the GDPR, in addition to the purpose of the processing operation and the harm caused, revealing to a third party personal and economic data related to the insurance policy; the damages suffered by the claimant since we are dealing with the infringement of a fundamental right to the protection of personal data, and the revealed data was used in a judicial dispute, which led the claimant to file a complaint in court and a claim before the Agency.
- The activity of the allegedly infringing entity is linked to the processing of data from both clients and third parties. In the activity of the claimed entity, the processing of personal data of its clients is essential.

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clients, which makes the significance of the conduct subject to this claim undeniable (Article 76.2.b) of the LOPDGDD in relation to Article 83.2.k).

- The intentionality or negligence in the infringement; there is a serious lack of diligence in their actions, allowing access to the claimant's documentation by a third party, breaching security and confidentiality measures, which was subsequently presented in court. Also connected to the degree of diligence that the data controller is obliged to exercise in compliance with the obligations imposed by data protection regulations, the SAN of 17/10/2007 can be cited. Although it was issued before the validity of the GDPR, its ruling is perfectly extrapolable to the case we are analyzing. The ruling, after referring to the fact that entities whose activities involve continuous processing of data from clients and third parties must observe an adequate level of diligence, specified that "(...). the Supreme Court has understood that there is negligence whenever a legal duty of care is disregarded, that is, when the infringer does not behave with the required diligence. And in assessing the degree of diligence, the professionalism or lack thereof of the subject must be particularly weighed, and there is no doubt that, in the case now examined, when the activity of the appellant involves constant and abundant handling of personal data, it must be insisted upon the rigor and exquisite care to comply with the legal provisions in this regard" (Article 83.2.b) of the GDPR).

In light of the above, the following
PROPOSAL FOR RESOLUTION

is issued that the Director of the Spanish Agency for Data Protection sanctions D.A.S. DEFENSA DEL AUTOMOVILISTA Y DE SINIESTROS-INTERNACIONAL, S.A. DE SEGUROS Y REASEGUROS, with NIF A08055196, for an infringement of Article 5.1.f) of the GDPR, classified under Article 83.5.a) of the GDPR, with a fine of €50,000 (fifty thousand euros).

Furthermore, in accordance with the provisions of Article 85.2 of the LPACAP, it is informed that it may, at any time prior to the resolution of this procedure, voluntarily pay the proposed sanction, which will entail a 20% reduction of the amount. With this reduction applied, the sanction would be set at €40,000, and its payment will imply the termination of the procedure. The effectiveness of this reduction will be conditioned upon the withdrawal or renunciation of any action or administrative appeal against the sanction.

In the event that it opts to proceed with the voluntary payment of the amount specified above, in accordance with the provisions of the aforementioned Article 85.2, it must be made effective by depositing it into the restricted account No. IBAN: ES00-0000-0000-0000-0000-0000 (BIC/SWIFT Code: CAIXESBBXXX) opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A., indicating in the concept the reference number of the procedure that appears in the heading of this document and the reason, for voluntary payment, for the reduction of the sanction amount. Furthermore, it must send the proof of payment to the General Subdirectorate of Inspection to proceed to close the file.

In virtue of this, you are notified of the above, and it is made clear that you have a period of TEN DAYS to present any arguments you deem appropriate in your defense and to submit any documents and information you consider pertinent, in accordance with Article 89.2 of the LPACAP.

R.R.R.

INSPECTOR/INSTRUCTOR

ANNEX

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20/09/2022 Request for extension of deadline from D.A.S. DEFENSA DEL AUTOMOVILISTA Y DE SINIESTROS INTERNACIONAL S.A. DE SEGUROS Y REASEGUROS

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07/10/2022 Allegations of D.A.S. DEFENSA DEL AUTOMOVILISTA Y DE SINIESTROS INTERNACIONAL S.A. DE SEGUROS Y REASEGUROS

18/10/2022 Notification for evidence to D.A.S. DEFENSA DEL AUTOMOVILISTA Y DE SINIESTROS-INTERNACIONAL, S.A. DE SEGUROS Y REASEGUROS.

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SECOND: On May 15, 2023, the respondent has proceeded to pay the sanction in the amount of €40,000, making use of the reduction provided for in the resolution proposal transcribed above.

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THIRD: The payment made entails the waiver of any action or remedy in the administrative route against the sanction, in relation to the facts referred to in the resolution proposal.

LEGAL GROUNDS

I

Competence

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and the guarantee of digital rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states: "The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued in its development, and, insofar as they do not contradict them, subsidiarily by the general rules on administrative procedures."

II

Termination of the procedure

Article 85 of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter LPACAP), under the heading "Termination in sanctioning procedures" provides as follows:

"1. Once a sanctioning procedure has been initiated, if the offender acknowledges their responsibility, the procedure may be resolved with the imposition of the appropriate sanction.

2. When the sanction is solely of a pecuniary nature or when it is possible to impose a pecuniary sanction and another non-pecuniary sanction but the impropriety of the latter has been justified, voluntary payment by the presumed responsible party, at any time prior to the resolution, will imply the termination of the procedure, except regarding the restoration of the altered situation or the determination of compensation for the damages caused by the commission of the infringement.

3. In both cases, when the sanction is solely of a pecuniary nature, the competent authority to resolve the procedure shall apply reductions of at least 20% on the amount of the proposed sanction, which shall be cumulative. The aforementioned reductions must be specified in the notification of the initiation of the procedure, and their effectiveness will be conditioned upon the withdrawal or waiver of any action or remedy in the administrative route against the sanction. The percentage of reduction provided for in this section may be increased by regulation."

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In accordance with the above,

the Director of the Spanish Agency for Data Protection RESOLVES:

FIRST: TO DECLARE the termination of procedure EXP202204226, in accordance with the provisions of Article 85 of the LPACAP.

SECOND: TO NOTIFY this resolution to D.A.S. DEFENSA DEL AUTOMOVILISTA Y DE SINIESTROS-INTERNACIONAL, S.A. DE SEGUROS Y REASEGUROS.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative route as provided by Article 114.1.c) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations, the interested parties may file a contentious-administrative appeal before the Contentious-Administrative Chamber of the National Court, in accordance with the provisions of Article 25 and paragraph 5 of the fourth additional provision of Law 29/1998, of July 13, regulating Contentious-Administrative Jurisdiction, within two months from the day following the notification of this act, as provided in Article 46.1 of the aforementioned Law.

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Mar España Martí

Director of the Spanish Agency for Data Protection

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